

MemoryCare — Advisory Council Report (Synthesis)

August 6, 2026 · Confidential · An independent six-expert review — contrarian investor, CFO, legal counsel (Armenia), COO, diaspora-marketing CMO, and customer voice — each working separately from the full document set, synthesized by a chairman. Resolutions adopted from this report are recorded in the Decision Log (Document 07).

1. Overall verdict (unanimous)

The business is real and the pain is genuine: 12% of surveyed families report no one cares for the family plot, 18% do not know its current condition, and none of those who tried informal solutions were fully satisfied. Core unit economics are healthy — the CFO independently re-derived a deep-visit unit cost of $\approx$ AMD 24K on the three-person crew and confirmed tier margins — and the flagship's price sits squarely inside measured willingness to pay (USD 50–100 per visit). Family Circle sub-accounts at launch are a world-class differentiator: no analogue studied offers them. The council found no fatal defects; everything it flagged is fixable within two to four weeks of disciplined work. Its sharpest warnings: the most probable failure mode is not a cemetery refusal but slow cold-market sales against a monthly burn once crews are hired, so the trust barrier ("prepay strangers a year in advance") must be attacked deliberately; contractor IP must be secured by signed agreements; and a foreign-card payment must be proven live before launch. All three are now scheduled actions.

2. Market size (adopted)

	Low	Base	High
Serviceable families	~6–8K	~ 12–18K	~25–35K

Bottom-up methodology: post-Soviet emigration from Armenia (~300–600K households) → the share with graves in Yerevan → filters for acute need, ability to pay, and channel reachability, yielding 4–10K reachable diaspora families, plus 2–5K affluent Yerevan households. Cross-checked by flow:

~8-9K new burials in Yerevan annually. The Year-5 plan of ~2,000 clients equals ~13% penetration of the base — ambitious, within category norms.

3. Growth trajectory (adopted)

The council rejected an aggressive tripling curve as a planning basis and recommended the base trajectory now in the model —

+120/+90/+65/+50%, reaching ~2,000 clients by Year 5 — with any acceleration gated on proven CAC $\leq$ AMD 25,000, retention $\geq$ 85% on the first hundred clients, and a working referral loop. Marketing must be budgeted by CAC ladder rather than a flat figure (a flat USD 400/month would buy roughly a third of the Year-1 plan).

4. Principal recommendations (all adopted unless noted)

1. Pursue a **framework agreement with the cemetery operator** — an agreement cannot be revoked the way a letter can — and have it cover vehicles, water, waste, filming, and caretaker relations, since these determine field productivity.
2. **Sign contractor agreements within 72 hours**, with IP transferring on milestone payments and source files as an acceptance condition.
3. Build the **first-payment trust layer**: live foreign-card testing before launch; the council's "pay after your first report" mechanism is held as a decision for pilot data.
4. Ship the **platform legal pack** (US/EU-ready terms with refund rights, privacy policy, sub-account consents, filming rules that keep third-party graves and visitors out of frame) before the first payment.
5. Model the **VAT transition** explicitly (now done — Year 3), with the pricing decision a year ahead; adopt deferred-revenue accounting and a refund reserve with the incoming accountant.
6. Replace flat marketing with the **CAC ladder** (adopted as above).
7. Protect capital with **tranche-based funding and a pre-agreed kill criterion** — fewer than 40 paying clients by month 4 post-launch triggers a rebuild, not a top-up (adopted).

8. Enforce quality through an **app-enforced visit protocol** (GPS plus four fixed before/after angles required to close a visit), 100% report review for the first three months, liability insurance, and an AMD 500K incident reserve before the pilot (adopted; see Document 15).
9. Keep the September pilot **lean** — the CBDO plus two formally employed technicians — and hire the full crew against real demand (adopted).
10. Fix the entry-price gap at the bottom of the ladder (subsequently resolved by the owner beyond the council's proposal: the Znum inspection product at AMD 20,000, credited toward packages, plus Express credit mechanics).

5. Red flags the council required closed before launch

Spending ahead of documented cemetery access · platform code being written without signed IP assignment · zero live foreign-card payments tested · zero paid clients as validation (survey-level only) · missing terms/privacy/consents · no field redundancy (single vehicle, no bench) · employment-law exposure if technicians work unregistered "test days" · the US-market naming collision ("memory care" = dementia care) requiring category descriptors and negative keywords in advertising.

6. Where the experts disagreed

Market size: the contrarian investor argued for the low band (~6-8K) on strict "satisfied with free family care" filtering; the CFO and CMO carried the consensus base of 12-18K. · Growth: most saw a tripling Year 2 as achievable with funded marketing; the contrarian held that unproven cold conversion warranted the base curve — the council resolved this with gates, and the owner subsequently adopted the base curve outright. · Express economics: views ranged from removing it from the storefront to trial-credit mechanics; the adopted resolution is trial credit, with the display role to be reviewed on pilot data. · Hiring: trigger-based field hiring was endorsed unanimously, with the COO's caveat — adopted — that the management layer must be hired ahead of demand from Year 3.